1. Business Structure

1.1. Classification of business activity

1. Primary sector – collecting and extracting natural resources. E.g. fishing, mining
2. Secondary sector – Processing and manufacturing products from natural resources. E.g. car manufacturing, clothes-making.
3. Tertiary sector – Firms selling services to consumers and other firms. E.g. banking, transportation
4. Quaternary sector – Businesses providing information services. E.g. Computing, web design, R&D, ICT, and consultancy.

1.2. Public and Private Sector

1. Public sector – firms controlled and managed by the government/local authority.
2. Private sector – firms controlled and managed by individuals.

1.3. Changes in Business Activity

The importance of each sector changes as the economy develops. The importance of each sector is measured by employment levels or output levels.

1. Industrialisation is when the importance of secondary sector rises. This occurs in developing countries like India and China

Advantages	Disadvantages
It increases the GDP of the country, helping raise living standards.	Causes a huge movement from rural to urban areas, causing social and housing problems.
It increases the employment opportunities available	Imports of raw materials will increase, increasing import costs.
Increases exports and reduces imports.	Manufacturing industries growth is usually occurred due to growth of MNCs
Firms will be more profitable, increasing tax revenue	
Manufacturing sector goods have more value than primary sector goods.	

2. De-industrialisation occurs when the importance of secondary sector declines. It occurs in developed countries like USA, UK.

- As a country develops, the average income per person increases. Rising incomes lead to increasing living standards as consumers will be able to spend more on services than goods, showing demand for services rises more quickly than physical goods
- As the world industrialises, more and more manufacturing businesses enter the market, increasing the competition and causing prices to fall. This makes it easier for developed countries to buy these goods rather than producing it themselves.

1.4. Types of Economies

1. Free market economy – only private sector and no government intervention.
2. Mixed economy – both private and public sectors. Governments and individuals make decisions together. Governments usually offer essentials like health care and education.
3. Command economy – economies that have only the public sector.

1.5. Sole trader

- These are businesses owned by one person
- The one person owns and controls the business.
- It has no formal legal structure as business and owner are considered one and the same.

Advantages	Disadvantages
Easy to set up and manage	Limited finance (capital)
Owner has complete control	Unlimited liability
Ability to choose working times	May face intense competition
Easy to establish relations with employees and customers	Unable to specialise
Freedom of making own decisions	Lack of continuity
	Insufficient skills

1.6. Partnership

- It is a business owned by a group of individuals

Advantages	Disadvantages
Each partner may specialise in different areas	Unlimited liability
Shared decision-making	Profits are shared
Additional finance (capital) injected by each owner	Risk of conflicts
Losses are shared	No continuity
Fewer legal formalities	

1.7. Limited companies

Features:

- Limited liability – each shareholder will only lose the amount invested if the business/idea fails
- Legal personality – the company has a separate legal identity from its owners/shareholders
- Continuity – even after the death of a shareholder, there is no need for dissolution.

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Private limited companies

- It is a business owned by shareholders who are friends and family

Advantages	Disadvantages
Limited liability	High legal formalities
Separate legal identity	Can't sell shares to public
Continuity	Difficult to sell shares
Original owner will be able to retain control	Have to send accounts to companies' house – less secrecy
Ability to raise capital from sale of shares	
Higher status	

Public limited company

- These are businesses which have legal rights to sell shares to the public.

Advantages	Disadvantages
Limited liability	High legal formalities
Separate legal identity	Cost of hiring specialists
Continuity	High fluctuation in share prices
Easy to buy and sell shares	Less secrecy
Access to substantial capital sources due to the right to issue prospectus (flatation)	High risks of takeover
	Directors influenced by short term objectives of major investors

Legal formalities in setting up a company

1. Memorandum of association – name, address, contact number, maximum share capital, declared aims
2. Articles of association – name of director, procedures to be followed

- These documents must be submitted to the registrar of companies

1.8. Other forms of business organisation

Cooperatives

- These are organisations owned by their members
- Features:
  - All members contribute to running and managing
  - All members have a say in important matters
  - Equally shared profits
- Advantages –
  - Buying in bulk
  - Working together to solve problems
  - Good motivation
- Disadvantages –
  - Poor management skills
  - Capital and finance shortage
  - Slow decision making

Joint ventures

- When 2 or more businesses agree to join for one project
- Reasons:
  - Shared costs and risks
  - Different companies' different strengths
  - Together more powerful
- Risks:
  - Conflicts
  - Errors or mistakes
  - Business failure of one partner, risk the whole project.

1.9. Franchise

- A business which uses the name, logo, trading methods of an existing successful business
- They have a legal agreement to do so

To the Franchisor:

Advantages	Disadvantages
Guaranteed income from franchisee	Poor management of one business, affecting reputation of all
Easy, risk-free way of expansion	Potential management issues
Easy to manage	Difficult to monitor
Still have some control	

To the franchisee:

Advantages	Disadvantages
Lower risks as business is established	Proportion of revenue sent to franchisor
Advice, training, supplies and advertising obtained by franchiser	Rigid business model already made
Economies of scale	Potential loss of large investment
Access to experts	Expensive initial fee
Franchiser won't open another outlet in the same area	

1.10. Public-sector enterprises – public corporations

- Known as public corporation
- In the public sector
- Profit is not their main aim

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Advantages	Disadvantages
Managed with social objectives rather than profit	High chances of inefficiencies
Still operate, even if making a loss	Subsidies may encourage inefficiency
Finance raised from government	Government may interfere in business decisions

1.11. Social enterprise

Features:

- Directly produce goods and services
- Have social aims and ethical ways of producing them
- Need to make a surplus

Objectives:

- Social
- Economical
- Environmental

Together known as triple bottom line

1.12. Changes in Business Ownership:

- Access to more sources of finance.
- Gaining legal identity.
- Protection of personal asset through means of limited liability.
- To support business's new long-term objective.
- Manage financial issues.
- To seize opportunities to secure necessary resources for growth.
- Attract new investors or partners.

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